

Judgment Sheet
IN THE LAHORE HIGH COURT
RAWALPINDI BENCH, RAWALPINDI
JUDICIAL DEPARTMENT

ITR No. 25 of 2015

Commissioner Inland Revenue (Zone-I), RTO, Rawalpindi
Versus
Mr. Tariq Mahmood, Proprietor Standard Medical Store

JUDGMENT

Date of Hearing	20.10.2021
Applicant By:	Mr. Muhammad Irshad Chaudhry, Advocate
Respondent By:	Proceeded against ex-parte vide order dated 28.9.2021

RAHEEL KAMRAN, J.- This is an Income Tax Reference (“**ITR**”) under section 133(1) of the Income Tax Ordinance, 2001 (“**Ordinance**”) being decided along with ITR Nos. 27 & 31 of 2015 as common questions of law and facts are involved in these cases *inter se* the same parties for tax years 2011, 2012 and 2013.

2. These ITRs were entertained by order dated 10.01.2018 to consider the following questions of law asserted to have arisen out of the order dated 07.04.2015 passed by the Appellate Tribunal Inland Revenue (“**ATIR**”):-

“ i. Whether on the facts and circumstances of the case learned ATIR was justified to hold that the taxpayer is entitled to rebate at the rate of 80% of the minimum tax payable u/s 113 of the Income Tax Ordinance, 2001 despite the fact that the taxpayer is not a distributor of pharmaceutical products?

ii. Whether on the facts and circumstances of the case the learned ATIR was justified to bring the medicines in the definition of fast moving goods despite the fact that these do not meet the criteria of fast moving goods owing to the reason that most of

these have long shelf lives, and are used by persons suffering from illness and not by the public at large?”

3. Brief facts of these cases are that the respondent is a taxpayer who filed his Returns for the tax years 2011, 2012 and 2013 declaring his net profits at Rs.1,144,289/-, Rs.1,049,900/- and Rs.1,144,289/- respectively, which were treated as Assessment Orders under section 120(1) of the “Ordinance”. Through order dated 25.04.2014 passed by the Additional Commissioner Inland Revenue, the aforementioned deemed assessments were found erroneous and prejudicial to the interest of revenue on the ground that the taxpayer had allegedly failed to pay the minimum tax under section 113 of the “Ordinance” properly while unlawfully claiming rebate under Clause 8 of Part III of Second Schedule to the “Ordinance”, therefore, the same were amended accordingly in exercise of jurisdiction under section 122(5A) of the Ordinance.

4. By order dated 20.08.2014, the appeals preferred by the respondent were dismissed by the Commissioner Inland Revenue (Appeals) with following findings:

“ I have perused the impugned order, the grounds of appeal and considered respective arguments of AR and DR as well as records presented by both sides. The argument of the appellant that it is a distributor of medicines is not corroborated by the letters of its suppliers sent to the department wherein they have specifically stated that M/s Standard Medical Store is not their distributor and is rather a normal customer who purchases medicines from them. The next argument of the appellant that it was dealing in “fast moving goods” is also not considered to be right as such goods have to be considered, interalia, from the point of uninterrupted consumption by common people on daily basis and with reference to the shortness of its shelf-life and perishability. Medicines do not meet such criteria and cannot be labeled as fast moving goods, as most of them have long shelf-lives and are used only by the persons suffering from some illness, rather than the public at large. Therefore, the appellant has not been able to establish its claims and as such does not qualify for tax reduction under Clause 8 of Part III of 2nd Schedule of the Ordinance.”

5. Being aggrieved, the respondent preferred appeals before the ATIR, being ITA Nos. 902, 903 & 904/IB/2014, which were allowed in his favour through the order dated 07.04.2015 (i.e. the order impugned in the titled ITRs) with the following findings:

***“The Appellant has claimed rebate on account that taxpayer deals with the whole sale medicine business. while also these items comes within the definition of fast moving items, therefore as per law appellant is entitled to rebate at the rate of 80% of the minimum tax, hence the minimum, tax is reduced accordingly.*”**

6. Learned counsel for the Applicant contends that the learned ATIR has erroneously held that the taxpayer is entitled to rebate at the rate of 80% of the minimum tax payable u/s 113 of the “Ordinance”, despite the fact that the taxpayer is not a “distributor” of pharmaceutical products and that medicines do not fall within the definition of “fast moving consumer goods”.

7. By order dated 28.09.2021, the respondent was proceeded against *ex parte*, hence, this Court was deprived of any assistance on his behalf.

8. Section 113 of the “Ordinance” provides for the levy of minimum tax on the amount representing annual turnover of certain persons, including the respondent, at rates specified therein. Section 53 of the “Ordinance” provides for exemptions and tax concessions in the Second Schedule, Clause (c) of sub-section (1) whereof allows a reduction in tax liability under the “Ordinance”, subject to any conditions and to the extent specified therein. Clause 8 in Part III of Second Schedule to the “Ordinance” provides:

“(8) For the distributors of pharmaceutical products, fertilizers, consumers goods including fast moving consumers goods, the rate of minimum tax on the amount representing their annual turnover under section 113 shall be reduced by eighty percent.”

9. From perusal of Clause 8 in Part III of Second Schedule to the “Ordinance”, it is manifest that *eighty percent reduction in the rate of minimum tax* has been allowed on the amount representing their annual turnover to those who are *distributors* of: (i) *pharmaceutical products* (ii) *fertilizers* and (iii) *consumers goods including fast moving consumers goods*.

10. Manufacturer, importer, distributor, wholesaler, and retailer are familiar terms used in any business or trade involving sale of goods, none of which have been defined in the “Ordinance”. The eighty percent reduction in the minimum tax rate under Clause 8 in Part III of Second Schedule to the “Ordinance” has been allowed only to a distributor and not to any other class of persons. The term “distributor” has been apparently used in distinction to the terms like “importer” and “manufacturer”. Section 2(7) of the Sales Tax Act, 1990 (“Act”) defines a “distributor” to mean a person appointed by a manufacturer, importer or any other person for a specified area to purchase goods from him for further supply and includes a person who being a distributor is engaged in the supply of goods as a wholesaler or retailer. The question arises as to whether definition of the word “distributor” as used in Section 2(7) of the Act can be invoked for interpreting Clause 8 in Part III of Second Schedule to the “Ordinance”? The answer lies in negative in view of the law enunciated by the august Supreme Court in the case of Syed Mukhtar Hussain Shah v. Mst. Saba Imtiaz (PLD 2011 SC 260) in the following terms:

It is settled law that the definition clause or section in a statute is generally meant to declare what certain words or expressions used in that statute shall mean, the obvious object of such clause is to the necessity of frequent repetition in describing all the subject matter to which the word or expression so defined is intended to apply. It is a rule of interpretation of laws that when a word /expression

is given a meaning in another statute of the Parliament (statute) it does not mean that it shall ipso facto have the same meaning in another Act of the Parliament, except in cases where on the rule /principle of legislation by reference, a definition of an earlier law may be borrowed or adopted as definition construing the operative provisions of the later law. A definition this appearing in one Act cannot be used to interpret the same word appearing in another Act, until it is specifically so referred and borrowed with clear command of law. Because, the context, the purpose, the object and the requirements of every statute may vary from other; the definition of a word from one statute cannot be safely imported to another, which if so resorted to without ascertaining the clear intention of the legislation by following the rules of interpretation, just as a matter of routine and course, it shall not only be hazardous, rather may distort and frustrate the object of the law and violate legislative intent which is absolutely impermissible in law.

In the absence of any definition of the term “distributor” in the “Ordinance”, the same has to be interpreted in terms of the ordinary dictionary meaning, as held by the august Supreme Court in the case of Chairman Pakistan Railway v. Shah Jehan Shah (PLD 2016 S.C. 534).

11. Surprisingly, the Applicant has not filed all relevant documents in support of these ITRs, in particular the Notice under section 122(5A), reply thereto by the Respondent, grounds of Appeal before the Commissioner Inland Revenue (Appeals), NTN Certificate of the Respondent relied upon by him the correspondence of the alleged suppliers of medicines relied upon by the department and vaguely referred to by the Commissioner Inland Revenue (Appeals) without reproducing contents thereof or mentioning names, designations of their authors and dates thereof. The learned Commissioner Inland Revenue (Appeals), in his order, did not reproduce any definition of the word “distributor” which he relied upon to dismiss claim of the respondent. Likewise, the grounds

of Appeals of the respondent before ATIR are also not appended with these ITRs to enable this Court to ascertain his exact pleas.

12. It may be added here that the benefit of aforementioned reduction has been allowed only to the distributors of (i) *pharmaceutical products* (ii) *fertilizers and* (iii) *consumers goods including fast moving consumers goods*. The specific classes of products mentioned in Clause 8 *ibid* are not of the same genus or family but are different and independent from each other. It is well settled that where specific words enumerating subjects and classes of products which greatly differ from each other, the words will have a different and independent meaning without taking any colour from the spec of words preceding or following it. Reliance in this regard is placed on the cases of Mst. Samra Ashfaq v. Govt. of N.W.F.P. (1996 SCMR 273); Commissioner Inland Revenue, Lahore v. Saritow Spinning Mills Ltd. (2016 PTD 786). Accordingly, pharmaceutical products and fertilizers are to be treated as distinct and independent classes of products from “consumer goods” in relation to which exemption in the form of tax reduction has been allowed under Clause 8 of Part III in Second Schedule to the Ordinance.

13. It is noteworthy that the expression “fast moving consumer goods” occurring in Clause 8 *ibid* is relatable only to categories of products falling in “consumer goods” and has no relevance at all to pharmaceutical products or fertilizers.

The phrase “consumer goods” has been defined in clause (13AA) of Section 2 of the “Ordinance” to mean goods that are consumed by the end consumer rather than used in the production of another good. Likewise, the expression “fast moving consumer goods” has been defined in clause (22A) of Section 2 of the “Ordinance” to

mean consumer goods which are supplied in retail marketing as per daily demand of a consumer whereas Clause 8 of Part III in Second Schedule to the “Ordinance” was omitted by Finance Act, 2014 (IX of 2014), therefore, the said definition has no application to Clause 8 *ibid*, and particularly to the amended assessments in these cases relating to tax years 2011, 2012 and 2013. Subsequently, through the Finance Act, 1017 (XXVII of 2017) durable goods were excluded from the above definition “fast moving consumer goods”. By now it is well settled that any change in substantive law, which divested and adversely affected vested rights of the parties should always have prospective application unless, by express words of the legislation and/or by necessary implication such law had been made applicable retrospectively. Even to operate retrospectively, such legislation does not have the effect of destroying the past and closed transactions. Reliance in this regard is placed on the cases of Province of East Pakistan v. Sharafatullah (PLD1970 SC 514) Al-Samrez Enterprises v. Federation of Pakistan (1986 SCMR 1917); Molasses Trading & Export (Pvt.) Ltd v. Federation of Pakistan (1993 SCMR 1905) Manzoor Ali v. UBL (2005 SCMR 1785) and Muhammad Tariq Badr and another v. National Bank of Pakistan (2013 SCMR 314).

Be that as it may, the inclusion of fast moving consumer goods along with consumer goods in Clause 8 *ibid* has been made by the legislature in order to expand the scope of exemption in that category and not to restrict the same in any way. Reliance in this regard is placed on the cases of Malik Muhammad Inam and others v. Federation of Pakistan (2006 SCMR 1670), Commissioner Inland Revenue v. M/s Haier Pakistan (Pvt.) Ltd. (2018 PTD 1582), Karamat Hussain v.

WAPDA and another (1998 PLC (C.S.) 507); Commissioner of Sales Tax, Rawalpindi v. Messrs Raja Abdul Razaq Zia ul Qamar (1973 PTD 19).

14. Accordingly, the second question proposed in these ITRs is answered in negative, in favour of the Applicant and against the respondent. It is held that while allowing appeal of the respondent through the impugned order, learned ATIR has erroneously found the pharmaceutical products to fall within the fast moving consumer goods, therefore, the respondent was not entitled to any rebate on that basis.

15. Perusal of the record shows that the ATIR has not determined the core issue whether the respondent was a “distributor” of the pharmaceutical products on the relevant dates and without giving a clear finding to that effect, the respondent has been held entitled to the benefit of rebate under Clause 8 of Part III in Second Schedule to the “Ordinance” and decided the matter through the impugned order. Since material aspects of the matter have not been dilated upon by ATIR, therefore, the impugned order does not appear to be in conformity with the provisions of section 24-A of the General Clauses Act, 1897 and the law laid down by the august Supreme Court of Pakistan in the case of Commissioner of Income Tax, Companies Zone-II, Karachi v. M/s Sindh Engineering (Pvt.) Ltd., Karachi (2002 SCMR 527). Additionally, the aforementioned core issue is a mixed question of law and fact determination whereof can be best undertaken by ATIR. Last but not the least, any finding by this Court on the aforementioned core issue would surely prejudice the parties by denying them a forum of redressal under the “Ordinance”. Reliance in this regard is placed on the case of Messrs Al-Khair Gadoon Ltd. v. The Appellate Tribunal and others (2019 SCMR 2018).

16. For the foregoing reasons, these ITRs are allowed, the impugned order dated 07.04.2015 is set aside and the matter is remanded to the learned ATIR for decision afresh through a speaking order, strictly in accordance with law, after haring both parties.

17. These reference applications are disposed of accordingly.

18. Office shall send a copy of this judgment under seal of the Court to the Appellate Tribunal as per section 133(5) of the Ordinance.

(Mirza Viqas Rauf)
Judge

(Raheel Kamran)
Judge

APPROVED FOR REPORTING:

JUDGE

Rafiq*